Trent Ltd

Result Update | Retail

Growth Aggression Continues

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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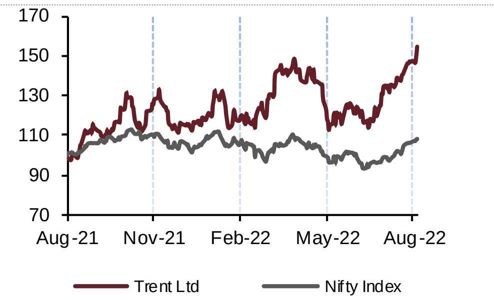
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	**1,358**	**-2**

Market data		
Current price	**Rs**	**1,383**
Market Cap (Rs.Bn)	(Rs Bn)	492
Market Cap (US$ Mn)	(US$ Mn)	6,172
Face Value	Rs	1
52 Weeks High/Low	Rs	1391 / 866
Average Daily Volume	('000)	1,783
BSE Code		500251
Bloomberg		`TRENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	**Jun-22**	**Mar-22**
Promoters	37.01	37.01
Public	62.99	62.99
Total	**100**	**100**

Source: Bloomberg

Trent Q1FY23 Standalone results were much better than expectations. Q1FY23 CAGR over Q1FY20 was 29%

- Revenue recorded 405% growth on YoY basis to Rs 16528.6mn aided by strong store additions and 24% LFL over Q1FY20 growth in Westside. Westsid business grew by 129% YoY basis.
- Store count for Q1FY23 stood at 450 (~209 Westside and 241 Zudio) as against 321 last year (184 Westside and 137 Zudio). Overall sq foot for fashion stores in Q1FY23 increased by ~29% to 5.69mn (Q4FY22 Store Count was 435)
- **EBIDTA** margins stood at 18.4% as ***against 21% (in Q1FY20).*** Q1FY21 was a EBIDTA loss was Rs 317.9mn. Compared to Q1FY20 margin drop is attributed to higher sale from Zudio wherein the through-put is high but gross margins are lower.
- **Raw Materials to Revenue,** due to higher contribution from Zudio, stood at 50.7% as against 46.4% YoY and 47% in Q1FY20.
- **Employee Cost** too in a QoQ basis was up by 14.3% increasing number of stores.
- **Depreciation:** revised estimates with respect to the useful life of certain stores that resulted in an additional depreciation charge of Rs 281.1mn
- *PBIT margins (ex of Indian As Impact and non operating income) stood at Rs 1800mn as against Rs 720mn QoQ and loss of Rs 890mn YoY*
- *PAT stood at 1026mn as against a loss of Rs 838mn YoY and registered 37% growth QoQ*
- **PAT CAGR over Q1FY20 is 21%**

Outlook

- **Trent's longer-term focus** is to be a *"Portfolio of Brands"* which are originated and scalable, like Westside and Zudio that are now both profitable and sustainable business models.
- Management aim is to grow at CAGR of 25%+ and maintain atleast 10% EBIT margins (pre-Ind-As) is being delivered consistently.

Financial Summary Standlone

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23e	FY24e
Net sales	31,777	20,475	38,807	66,138	80,616
% Growth	25.5	(35.6)	89.5	70.4	21.9
EBIDTA	5,632	2,926	6,983	12,129	14,935
Margins	18	14	18	18	19
PAT	1,546.0	(510.2)	2,598.0	4,507.9	6,068.0
growth (%)	21.0	(133.0)	(609.2)	73.5	34.6
EPS	4.3	(1.4)	7.3	12.7	17.1
P/E (x)	317.5	(962.1)	189.0	108.9	80.9
P/B (x)	19.6	19.5	18.0	15.8	13.4
EV/EBITDA (x)	87.6	167.5	70.9	40.9	33.0
ROCE (%)	11.9	2.3	12.9	22.5	24.8
RoE (%)	6.2	(2.0)	9.6	14.5	16.6

Source: Dalal and Broacha

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Consolidated Results

- **Revenue** grew by 267% YoY to Rs 18031.5mn (QoQ +36%)
- **EBIDTA margins stood at 16% v/s loss lasy year and 10% QoQ**
- PAT adjusted own shares stood at Rs 1305mn v/s loss of Rs 1264mn YoY and profit of Rs 1.6mn QoQ
- Share of Profits from JV and Associates was the highest since Q1FY20 @ Rs 340.1mn as against loss of Rs 217.4mn YoY and loss of Rs 96mn QoQ

Other KTA's

- Westside Revenue +129% YoY || LFL +24% V/s Q1FY20 || WestStyleClub renewals +37% QoQ ||
- merging Category contribute 15% to Standalone Revenue || beauty and personal care, innerwear and footwear
- Online Sales Westside.com, Tatacliq and Tata Neu = 6%
- IND AS 116 impact = Rs 380mn Standaone || Rs 410mn in consolidated
- **Other Income** mainly includes Pft on Sale of Fixed Assets and IND-As 116 impact
- **STAR Business:** witnessed improved customer traction with rise in sales and densities || Store level economies improved
- **Chairman NOEL TATA comments**: have no doubt that we are in the initial laps of our growth as we
- continue to expand our reach with vigour and reinforce our lifestyle offerings across concepts, categories and channels

Quarterly Financials

TRENT Particulars (Rs Mns)	Q1FY23	Q1FY22	YoY Growth	Q4FY22	QoQ Growth
Revenue	**16,528.6**	**3,272.9**	***405.0%***	**11,852.6**	***39.5%***
Raw Material	8,377.4	1,519.7	*451.2%*	6,030.2	*38.9%*
Employee Cost	1,151.2	762.8	*50.9%*	1,007.0	*14.3%*
EBIDTA	**3,041.1**	**-317.9**	***-1056.7%***	**1,523.4**	***99.6%***
Depreciation	1,201.9	622.2	*93.2%*	808.9	*48.6%*
Interest	924.7	685.8	*34.8%*	787.2	*17.5%*
PBT (before O.Inc & Exceptional)	**914.5**	**-1,625.9**	***-156.2%***	**-72.7**	***-1357.9%***
Other Income	415.1	523.4	*-20.7%*	1,021.4	*-59.4%*
Exceptional Items			*#DIV/0!*	-1.5	
PBT Reported	1,329.6	-1,102.5	*-220.6%*	947.2	*40.4%*
PAT (reported)	1,026.2	-837.6	*-222.5%*	748.7	*37.1%*
Adjusted PAT	1,026.2	-837.6	*-222.5%*	749.9	*36.8%*
Equity	**355.49**	**355.49**	*0.0%*	**355.49**	*0.0%*
EPS (on adj)	2.89	-2.36	*-222.5%*	2.11	*36.8%*
Tax Rate	*23%*	*24%*		*21%*	
% to Revenue					
Raw Material	51%	46%		51%	
Other Expenses	24%	40%		28%	
EBIDTA Margins	**18%**	**-10%**		**13%**	
PBIT Margins (Ex Ind-As)	1800	720		-890	
PBIT Margins (Pre Ind-As)	11%	6%		-27%	
Westside Store	209 Est	184		200	
Zudio Store	241 Est	137		235	
Total Stores	450 Given	321		435	
CONDOLIDATED	**Q1FY23**	**Q1FY22**	***YoY Growth***	**Q4FY22**	***QoQ Growth***
Revenue	18031.50	4919.90	*267%*	13288.60	*36%*
EBIDTA Margins	16%	-9%	*-285%*	10%	*60%*
PAT (owners share)	1305.10	-1264	*-203%*	1.60	*81469%*
Sh of Pft/ Loss of JV	340.10	-217.35	*-256%*	-96.10	*-454%*

Source: Company

Outlook and valuations

Trent SOTP Method					
Segment	**Particulars**	**FY24**	**Metric**	**Multiple (X)**	**Value/ Per Share Contribution**
Wesiside + Zudio	PAT Standalone (Rs Mns)	6068	P/E	65	3,94,421
Star Bazaar 50% JV	Sales (Rs Mns)	10626	P/Sales	3	31,878
Zara Trents Share 49%	PAT (Rs Mns)	1269	P/E	30	38,059
Booker India 51%	Sales (Rs Mns)	5127	P/Sales	3	15,382
Less: Debt (Rs Mns)					4,974
Add: Cash + Invest (Rs Mns) less Inv in Subs					8,050
Total Value in Mns					**4,82,816**
NO. of Shares (In Mns)					355
Value Per Share Rs					**1,358**
CMP					1,381
Upside					**-2%**

Trent for Q1FY23 grew at a CAGR *(over Q1FY20)* of 29%+ in Revenue and 21%+ on PAT despite the impact of pandemic. With the aggressive store expansion, right product mix we expect this business to consistently deliver CAGR of 20%+ for couple of years.

Trent's one quarter Revenue (i.e. Q1FY23 Revenue of Rs 16528mn) is equivalent to its FY17 full year Revenue of Rs 17165mn. Westside reaching a run-rate of Rs 50bn indicates a strong execution capability the management has in taking the business to next level.

This aggression supported by strong balance-sheet with Net Debt-free status and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

Based on our SOTP valuation we arrive at a target price of Rs 1,358 (i.e 12-15 months perspective). We believe that the down-side in the stock is limited as the company has strong sustainable business model with very high growth potential. Market volatility should be used to "**Buy the stock on Dips**" with long-term perspective.

Financial

STANDALONE

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	31,776.7	20,475.3	38,807.3	66,138.4	80,616.1
Cost of sales	(26,144.7)	(17,549.1)	(31,824.5)	(54,009.1)	(65,680.9)
Operating Profit	**5,632.0**	**2,926.2**	**6,982.8**	**12,129.3**	**14,935.3**
Depreciation	(2,311.2)	(2,358.7)	(2,830.8)	(3,995.3)	(4,613.2)
PBIT	3,320.8	567.5	4,152.0	8,134.0	10,322.1
Other income	1,517.6	1,154.3	2,142.3	1,740.6	1,998.7
Interest	(2,382.9)	(2,379.8)	(2,932.7)	(3,850.5)	(4,211.8)
Profit before tax	2,455.5	(658.0)	3,361.6	6,024.2	8,109.1
Exceptional and Extra Ordinary	(0.3)	(63.4)	(131.6)	-	-
PBT (Post Extra Ordinary)	2,455.3	(721.4)	3,230.0	6,024.2	8,109.1
Provision for tax	(909.4)	211.2	(733.7)	(1,516.3)	(2,041.1)
Reported PAT	**1,545.9**	**(510.2)**	**2,496.3**	**4,507.9**	**6,068.0**
MI	-	-	-	-	-
Adjusted PAT	**1,546.0**	**(510.2)**	**2,598.0**	**4,507.9**	**6,068.0**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	1,545.9	(510.2)	2,496.3	4,507.9	6,068.0
Add: Dep. & Amort.	2,311.2	2,358.7	2,830.8	3,995.3	4,613.2
Cash profits	**3,857.1**	**1,848.5**	**5,327.1**	**8,503.2**	**10,681.2**
(Inc)/Dec in					
Sundry debtors	8.0	(72.4)	42.4	(115.5)	(61.1)
Inventories	(971.2)	1,919.5	(4,278.8)	(5,816.3)	(3,075.1)
Loans/advances	(503.2)	(345.2)	(688.7)	(999.6)	(1,198.7)
Current Liab and Provision	(268.1)	2,428.9	(1,058.5)	2,629.6	1,595.5
Change in working capital	(1,734.5)	3,930.8	(5,983.6)	(4,301.8)	(2,739.4)
CF from Oper. activities	**2,122.6**	**5,779.2**	**(656.4)**	**4,201.3**	**7,941.8**
CF from Inv. activities	**(28,261.1)**	**(6,741.2)**	**(18,733.4)**	**(8,010.3)**	**(9,491.0)**
CF from Fin. activities	**26,069.5**	**1,190.6**	**19,467.7**	**3,416.1**	**3,892.7**
Cash generated/(utilise	**(69.0)**	**228.7**	**77.8**	**(392.8)**	**2,343.5**
Cash at start of the year	509.5	440.5	669.2	747.1	354.2
Cash at end of the year	440.5	669.2	747.1	354.2	2,697.7

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	355.5	355.5	355.5	355.5	355.5
Reserves	24,634.4	24,803.1	26,844.9	30,784.0	36,247.7
Net worth	**24,989.9**	**25,158.6**	**27,200.4**	**31,139.5**	**36,603.2**
Non Current Liabilites	24,696.9	25,174.8	45,312.7	49,325.4	53,843.7
Current Liabilites	4,264.1	6,737.3	5,608.4	8,210.1	9,784.3
CAPITAL EMPLOYED	**53,950.9**	**57,070.7**	**78,121.5**	**88,675.0**	**1,00,231.2**
Non Current Assets	36,768.4	41,817.4	59,591.0	63,910.0	68,791.8
Fixed Assets	26,413.9	29,572.8	45,527.9	49,842.9	54,720.8
Non Current Investments	9,268.5	11,146.1	12,821.9	12,821.9	12,821.9
Deferred Tax Asset	**1,069.5**	**1,080.1**	**1,225.3**	**1,225.3**	**1,225.3**
Long Term Loans and Advances	16.4	18.4	15.9	19.9	23.9
Current Assets	17,182.5	15,253.4	18,530.5	24,765.0	31,439.4
Current investments	6,799.7	6,145.7	4,417.4	4,117.4	4,117.4
Inventories	5,865.2	3,945.7	8,224.5	14,040.8	17,115.8
Trade Receivables	133.3	205.7	163.3	278.8	339.8
Cash and Bank Balances	440.5	669.2	747.1	354.2	2,697.7
Short Term Loans and Advance	856.6	749.2	261.5	313.8	376.6
Other Current Assets	3,087.2	3,537.8	4,716.7	5,660.0	6,792.0
CAPITAL DEPLOYED	**53,950.9**	**57,070.7**	**78,121.5**	**88,675.0**	**1,00,231.2**

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	17.7	14.3	18.0	18.3	18.5
NPM	4.6	(2.4)	6.3	6.6	7.3
Tax rate	(37.0)	(32.1)	(21.8)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	25.5	(35.6)	89.5	70.4	21.9
Operating Profit	138.1	(48.0)	138.6	73.7	23.1
PBIT	74.7	(82.9)	631.6	95.9	26.9
PAT	21.0	(133.0)	(609.2)	73.5	34.6
Per Share (Rs.)					
Net Earnings (EPS)	4.3	(1.4)	7.3	12.7	17.1
Cash Earnings (CPS)	10.9	5.2	15.3	23.9	30.0
Dividend	1.0	0.6	1.7	1.6	1.6
Book Value	70.3	70.8	76.5	87.6	103.0
Free Cash Flow	(73.5)	(2.7)	(54.5)	(10.7)	(4.4)
Valuation Ratios					
P/E(x)	**317.5**	**(962.1)**	**189.0**	**108.9**	**80.9**
P/B(x)	19.6	19.5	18.0	15.8	13.4
EV/EBIDTA(x)	87.6	167.5	70.9	40.9	33.0
Div. Yield(%)	0.1	0.0	0.1	0.1	0.1
FCF Yield(%)	**(5.3)**	**(0.2)**	**(3.9)**	**(0.8)**	**(0.3)**
Return Ratios (%)					
ROE	6.2	(2.0)	9.6	14.5	16.6
ROCE	11.9	2.3	12.9	22.5	24.8

Source: Dalal & Broacha Research, Company

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